testbook PASS PRO MAX

General Knowledge

Indian Economy

STUDY NOTES

The Balance of Payments

THE BALANCE OF PAYMENT

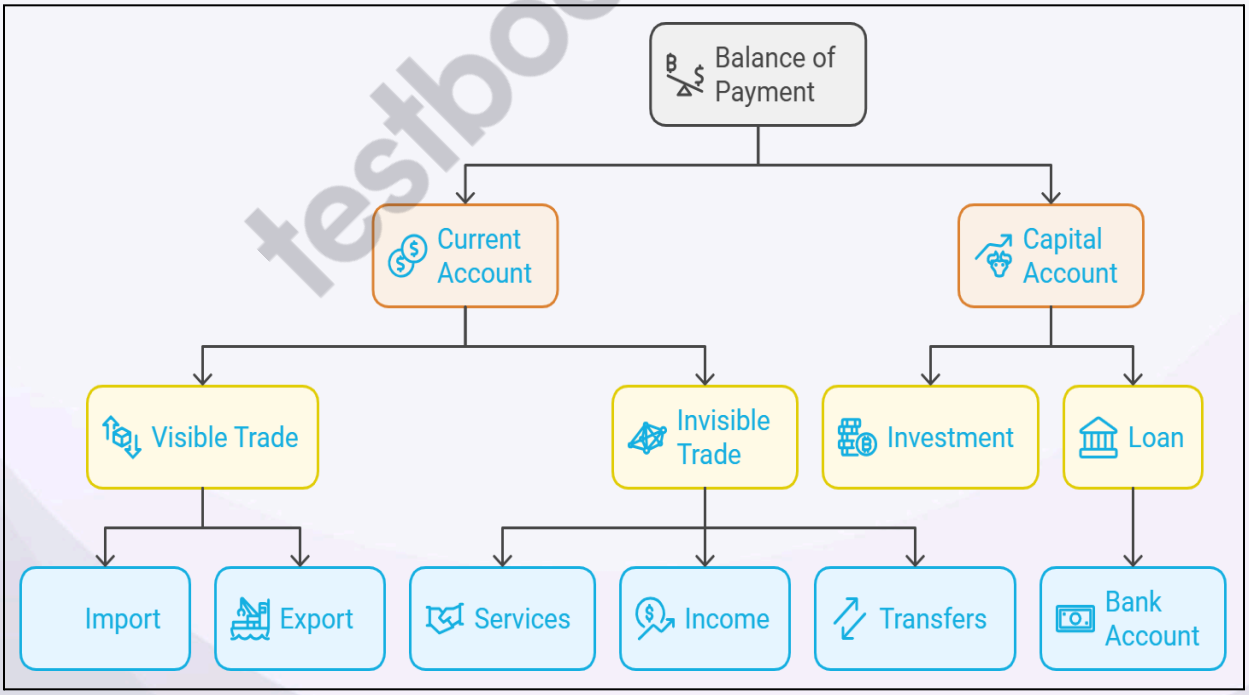
Introduction

- The **Balance of Payment (BoP)** is a **record of all financial transactions** between residents of a country and the rest of the world over a specific period.
- Includes **goods, services, capital transfers**, and **financial assets**.
- Reflects a country's **economic health** and **international economic position**.

Key Features of Balance of Payment

- **Double-entry System**: Each transaction is recorded as a **credit** (inflow) and **debit** (outflow).
- **Time Period**: Usually prepared for a **fiscal year**.
- **Balance**: BoP must always balance because all inflows and outflows are accounted for.
- **Focus Areas**: Tracks **economic interdependence**, external liabilities, and reserves.

Components of Balance of Payment



Component	Details
Current Account	Records the **trade of goods**, services, income, and unilateral transfers.
Capital Account	Tracks **capital transfers** and **non-financial, non-produced assets**.
Financial Account	Includes **direct investment, portfolio investment**, and changes in **reserve assets**.
Errors and Omissions	Balances discrepancies caused by **data inaccuracies** or missing entries.

Current Account

- **Includes:**
  1. **Merchandise Trade**: Exports (+) and imports (-) of **physical goods**.
  2. **Services Trade**: E.g., IT services, tourism, financial consulting.
  3. **Income**: Earnings from **investments abroad** or payments to foreign investors.
  4. **Unilateral Transfers**:
     - **One-way transactions** like remittances, foreign aid, or gifts.
- **Example**: If exports = $200 billion and imports = $300 billion, the **trade deficit = $100 billion**.

Capital Account

- Records transactions involving **asset transfers**.
  1. **Capital Transfers**:
     - Debt forgiveness.
     - Migrants transferring assets to a new country.
  2. **Non-produced, Non-financial Assets**:
     - Patents, copyrights, trademarks.
- **Example**: Sale of a patent by Country A to Country B.

Financial Account

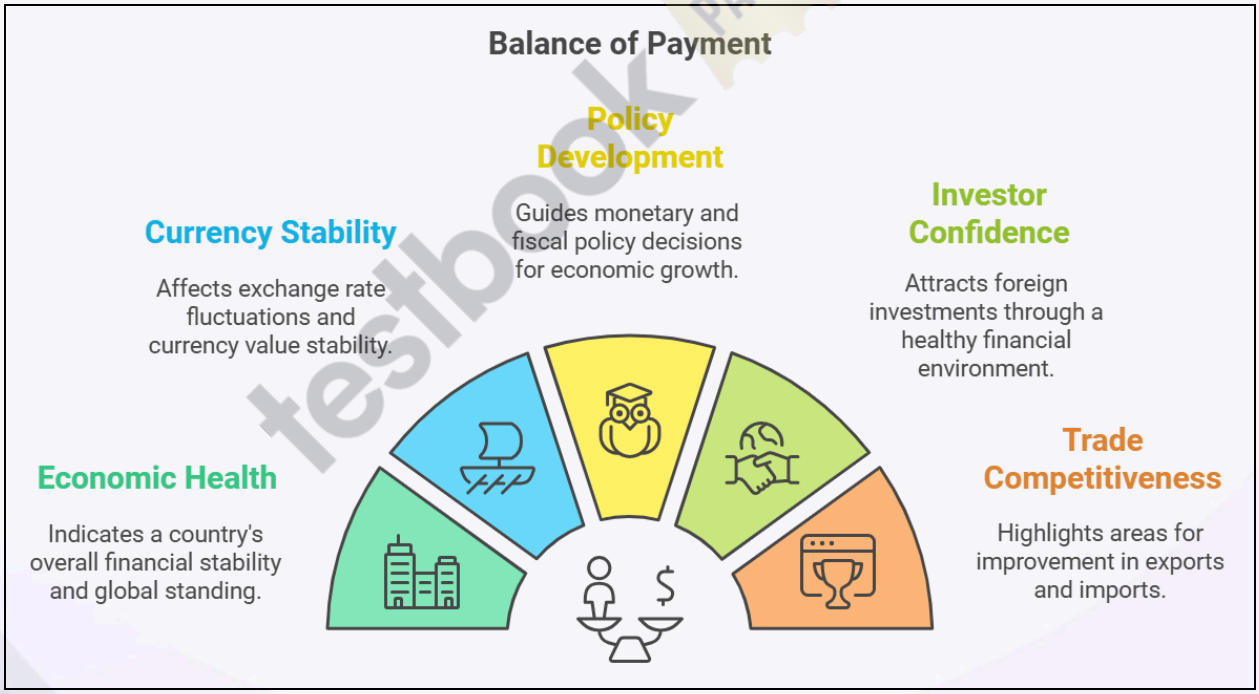
- Tracks investments, liabilities, and reserves.

1. **Foreign Direct Investment (FDI)**:
    - Long-term investments in tangible assets (e.g., setting up factories).
2. **Portfolio Investment**:
    - Short-term investments in financial assets like stocks or bonds.
3. **Reserve Assets**:
    - Changes in **foreign exchange reserves**, gold, or Special Drawing Rights (SDRs).

BoP Equilibrium

- **Surplus**: Inflows > Outflows (e.g., trade surplus).
- **Deficit**: Outflows > Inflows (e.g., high debt repayment or import bills).
- Imbalances are often corrected by **policy interventions** or external borrowing.

Importance of Balance of Payment



Balance of Payment Crises

- A **BoP crisis** occurs when a country cannot finance its external obligations.
- **Causes**:

1. **High Trade Deficit**: Persistent excess of imports over exports.
2. **Low Foreign Reserves**: Inadequate reserves to meet debt or import payments.
3. **Excessive Borrowing**: External loans exceeding repayment capacity.
4. **Policy Mismanagement**: Inefficient fiscal policies or lack of export promotion.
5. **Global Factors**: Rising crude oil prices, global recessions, or wars.

- **Consequences**:
  1. **Currency Depreciation**: Sharp fall in domestic currency value.
  2. **Economic Instability**: Inflation, unemployment, and reduced growth.
  3. **Dependence on Bailouts**: Reliance on IMF or international loans.

Case Study: India's 1991 BoP Crisis

Aspect	Details
Scenario	High fiscal deficit, trade deficit, and low forex reserves (only 3 weeks of import cover).
Trigger	The Gulf War caused oil price spikes and reduced remittances.
Response	IMF bailout of $2.2 billion, liberalization of the economy (LPG reforms).
Outcome	Stabilized currency, reduced trade deficit, increased foreign investments.

Addressing BoP Issues

- **Export Promotion**:
  - Encourage industries with global demand.
  - Subsidies for export-oriented units.
- **Import Substitution**:
  - Boost domestic production of high-import goods.
- **Foreign Exchange Reserves**:
  - Accumulate reserves to withstand global shocks.
- **Policy Reforms**:
  - Prudent fiscal policies and diversification of trade partners.

Example: Analyzing BoP with Numbers

- **Scenario**:
  - Country X exports $500 billion worth of goods and imports $700 billion.
  - Receives $100 billion in FDI and $50 billion in remittances.
- **Analysis**:
  - **Current Account**: Trade deficit = $700 billion - $500 billion = $200 billion.
  - **Financial Account**: Inflows = $100 billion (FDI) + $50 billion (remittances) = $150 billion.
  - Net BoP = $150 billion - $200 billion = $50 billion deficit.